

BTO Call Option Analysis

Options Tracker · May 19, 2026 · Buying 2.5% OTM Calls · 52 Tickers · 6 Months

METHODOLOGY

Strategy: Buy 2.5% OTM call, hold to expiry (next Mon/Wed/Fri)

Win: Stock closes above strike at expiry (call is ITM)

Loss: Stock closes below strike — full premium lost

Premium: Estimated via Black-Scholes using 20-day historical volatility

EV = (win_rate × avg_net_profit) – (loss_rate × avg_premium_paid)

Note: HV-based estimates are conservative — real IV typically 20-30% higher

FULL BTO RESULTS — ALL 52 TICKERS

Ticker	Win%	Avg Prem	Avg Profit	Exp Value	Ann Cost	Verdict
MU	50.0%	\$6.08	\$11.79	+\$2.86	\$948	■ Positive EV
AMD	37.0%	\$2.66	\$11.07	+\$2.42	\$414	■ Positive EV
INTC	41.3%	\$0.93	\$3.11	+\$0.73	\$146	■ Positive EV
CAT	23.9%	\$2.89	\$12.17	+\$0.71	\$451	■ Positive EV
GOOG	13.9%	\$0.48	\$6.35	+\$0.47	\$76	■ Positive EV
GOOGL	12.7%	\$0.56	\$7.46	+\$0.45	\$88	■ Positive EV
LLY	15.2%	\$3.88	\$24.02	+\$0.36	\$606	■ Positive EV
COST	8.0%	\$0.35	\$6.30	+\$0.18	\$55	■ Positive EV
LMT	14.3%	\$1.00	\$6.68	+\$0.10	\$156	■ Positive EV
AAPL	15.9%	\$0.31	\$1.96	+\$0.05	\$49	■ Positive EV
CVX	11.0%	\$0.23	\$2.25	+\$0.04	\$36	■ Positive EV
XOM	16.3%	\$0.25	\$1.56	+\$0.04	\$39	■ Positive EV
JNJ	2.6%	\$0.06	\$3.53	+\$0.03	\$10	■ Positive EV
T	17.0%	\$0.07	\$0.40	+\$0.01	\$11	■ Positive EV
UBER	12.1%	\$0.21	\$1.55	+\$0.00	\$33	■ Positive EV
NFLX	10.3%	\$0.44	\$3.79	-\$0.00	\$68	■ Near break-even
AMZN	20.7%	\$0.44	\$1.68	-\$0.00	\$69	■ Near break-even
MRNA	30.4%	\$0.66	\$1.49	-\$0.00	\$103	■ Near break-even
HAL	20.5%	\$0.13	\$0.48	-\$0.01	\$21	■ Near break-even
NVDA	20.7%	\$0.58	\$2.20	-\$0.01	\$91	■ Near break-even
SLB	20.7%	\$0.19	\$0.70	-\$0.01	\$30	■ Near break-even
OXY	27.0%	\$0.24	\$0.60	-\$0.01	\$37	■ Near break-even
PFE	22.7%	\$0.07	\$0.17	-\$0.01	\$11	■ Near break-even
BA	18.0%	\$0.54	\$2.38	-\$0.02	\$85	■ Near break-even
BAC	10.9%	\$0.09	\$0.56	-\$0.02	\$14	■ Near break-even

MS	12.8%	\$0.41	\$2.59	-\$0.02	\$64	■ Near break-even
VZ	21.6%	\$0.16	\$0.46	-\$0.03	\$25	■ Near break-even
C	16.5%	\$0.39	\$1.82	-\$0.03	\$61	■ Near break-even
F	10.9%	\$0.06	\$0.13	-\$0.04	\$9	■ Near break-even
SMCI	30.4%	\$0.57	\$1.16	-\$0.04	\$89	■ Near break-even
CSCO	14.9%	\$0.28	\$1.24	-\$0.06	\$44	■ Near break-even
UPS	11.1%	\$0.17	\$0.80	-\$0.06	\$27	■ Near break-even
ABBV	7.0%	\$0.29	\$2.87	-\$0.07	\$45	■ Near break-even
V	3.8%	\$0.34	\$6.54	-\$0.08	\$53	■ Near break-even
GE	14.1%	\$1.18	\$6.61	-\$0.08	\$185	■ Near break-even
GM	14.1%	\$0.23	\$0.77	-\$0.09	\$35	■ Near break-even
DIS	12.3%	\$0.21	\$0.71	-\$0.10	\$33	■ Near break-even
AVGO	23.9%	\$2.12	\$6.30	-\$0.11	\$331	■ Near break-even
WFC	5.2%	\$0.17	\$0.60	-\$0.13	\$27	■ Near break-even
TSLA	21.7%	\$1.76	\$5.63	-\$0.15	\$274	■ Near break-even
JPM	6.0%	\$0.39	\$3.47	-\$0.16	\$61	■ Near break-even
BX	18.2%	\$0.58	\$1.26	-\$0.24	\$90	■ Negative EV
MSFT	12.7%	\$1.05	\$4.68	-\$0.32	\$164	■ Negative EV
TKO	9.3%	\$0.59	\$1.74	-\$0.37	\$91	■ Negative EV
OKLO	34.8%	\$1.75	\$2.22	-\$0.37	\$273	■ Negative EV
ORCL	28.3%	\$1.70	\$2.56	-\$0.49	\$264	■ Negative EV
WDC	40.2%	\$4.89	\$6.05	-\$0.49	\$763	■ Negative EV
GS	12.0%	\$2.20	\$11.85	-\$0.52	\$343	■ Negative EV
CRM	14.1%	\$0.91	\$1.27	-\$0.60	\$142	■ Negative EV
PLTR	27.2%	\$1.30	\$0.96	-\$0.69	\$203	■ Negative EV
META	8.0%	\$2.73	\$19.84	-\$0.93	\$426	■ Negative EV
CEG	21.7%	\$2.64	\$4.63	-\$1.06	\$413	■ Negative EV

KEY FINDINGS

1 BTO is the inverse of STO

The worst STO tickers (MU, AMD, INTC, CAT) are the best BTO candidates. High volatility that blows through your strike as a seller works in your favor as a buyer.

2 Win rate is low but profits are large

MU wins only 50% of the time but averages \$11.79 net profit per share when it does. AMD wins 37% but averages \$11.07. The asymmetry makes them positive EV.

3 Best STO tickers are poor BTO candidates

JNJ (97% STO win rate) wins only 2.6% as a BTO. V, WFC, JPM are all negative or near-zero EV for BTO — they simply don't move enough to overcome the premium cost.

4 LLY is a lottery ticket

Only 15% win rate but avg net profit of \$24.02 per share when it wins. High annual cost (\$606) makes it impractical to buy regularly — best used selectively on catalysts.

5 Near-zero EV = market is efficient

NVDA, TSLA, AMZN, SMCi all cluster around \$0 EV. The market is pricing IV correctly for these names — no systematic edge buying or selling.

6 GOOG/GOOGL are unique — viable both ways

Positive EV for BTO (\$+0.45-0.47) and solid STO win rate (87%). The low IV relative to realized moves creates edge in both directions.

7 These are conservative estimates

Black-Scholes with HV understates real premium by 20-30% vs actual IV. Real-world BTO costs are higher, which would shift some positive EV tickers to near-zero.

RECOMMENDED STRATEGY BY TICKER

Strategy	Tickers	Notes
STO only	JNJ, V, WFC, JPM, BAC, META, CRM, GS, TKO, PLTR, BX, AB	Best win rates, positive STO EV, poor BTO candidates
BTO only	MU, AMD, INTC, CAT, LLY	Positive BTO EV, negative STO EV — high vol works for buyers
Both viable	AAPL, GOOG/GOOGL, XOM, CVX, T, LMT, COST	Positive or near-zero EV in both directions
Neither	TSLA, NVDA, SMCi, MRNA, OKLO, WDC, AVGO, ORCL	Market prices IV efficiently — no systematic edge either way

Caveats: Analysis uses end-of-day prices and HV-based Black-Scholes estimates. Does not account for IV crush, early exit, bid-ask spread, or transaction costs. BTO analysis assumes holding to expiry — in practice early exit at profit targets would change results. Positive EV tickers with very low win rates (JNJ BTO at 2.6%) require large sample sizes to realize the edge.